



# Turbulence at Vistara – A Chink in Tata Group’s Airline Business Consolidation?

## Case Study

This case was written by **Joel Sarosh Thadamalla** and reviewed by **K. Bhagyalakshmi**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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### Case Study

*"We are happy that Air India is back with the Tata Group. We look forward to working with everyone in creating a world-class airline."*

– N Chandrashekar, Chairman Tata Group

*"Restoring Air India to its former glory is not a T20 match. It's going to be a Test match and within that Test match, there's going to be patience and persistence and partnerships and maybe the occasional sixes and fours. But it's going to be largely a function of accumulating ones and twos and building that foundation."*

– Wilson Campbell, CEO, Air India

India's total domestic air passenger traffic volumes in the year-ended December 31<sup>st</sup> 2022 were about 123.2 million, while for the calendar year, 2023, the domestic air passenger traffic grew 8.34% Y-o-Y to 152 million. Of this, 'IndiGo, the no-frills carrier which had a market share of 60.5% flew 91.9 million domestic passengers followed by Air India<sup>1</sup>, a full-service carrier transported 14.7 million passengers and commanded 9.7% market share'. 'Vistara<sup>2</sup>, another full-service carrier with a 9.1% market share in 2023 flew 13.8 million passengers, while Air India Xpress (AIX) connect, a Tata Group's subsidiary airline which had a market share of 7.2% flew 10.8 million passengers. SpiceJet, a budget carrier whose share stood at 5.5% transported a total of 8.39 million passengers, and Akasa Air, a fledgling airline flew 6.23 million domestic passengers and had a market share of 4.1%'.

Market watchers noted that 'although the aviation sector in India witnessed impressive growth, it was faced with issues including rising fuel prices, rupee depreciation, low margins, and demand fluctuation when the fixed costs of operating an airline were high. The Indian aviation sector was replete with example of dozen airlines grounded within five years of their operations. Aviation experts also noted that the Indian aviation sector was moving towards near duopoly of IndiGo and Tata-owned airlines cornering a big chunk of market share as smaller airlines struggled'. According to ICRA<sup>3</sup> 'the Indian domestic air passenger traffic to grow between 8 and 13% in FY2024, crossing 150 million passengers'. In a statement, ICRA had mentioned: "The momentum is expected to continue in FY2025 as well, with a similar

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<sup>1</sup> Originally founded in 1932 by JRD Tata, the former Chairman of the Tata Group which was taken over by the Government of India in 1953 as part of nationalisation plan.

<sup>2</sup> A joint venture between Tata Group's Air India and Singapore Airlines Limited.

<sup>3</sup> A rating agency.

estimated year-on-year growth, aided by rising demand for both leisure and business travel and improving airport infrastructure.”

Manu Balachandran (Balachandran), Associate Editor at *Forbes India* mentioned that ‘turbulences, in the complex and delicate world of aviation, often were known to open unprecedented ramifications even for robust airlines chipping away their years of laboured gains and throw them into headwinds that spiral out of control’. According to Rupin Chopra, Associate Partner of S.S. Rana & Co.<sup>4</sup>, and Shantam Sharma, Junior Associate Advocate at S.S. Rana & Co., ‘the Tata Group re-entered Indian airline market with the launch of Vistara in 2015 offering air travelers a premium flying experience. Later, with the acquisition of Air India and AIX, and subsequent merger of these two entities (in 2022), Tata Group created a more comprehensive portfolio of airlines under its banner. The consolidation of Vistara and Air India was expected to poise Air India into a pole position as India’s leading domestic and international carrier with a combined fleet of 218 aircraft and usher a new era in Indian aviation’.

However, ‘since April 2024, Vistara had been witnessing cancellations of its flight operations discomforting passengers due to unavailability of its pilots, besides, drawing attention of the Indian aviation regulatory authorities who sought a report about the disruption of its operations’. A Vistara spokesperson said: “We have decided to temporarily reduce the number of flights we operate, to ensure adequate connectivity across our network.”

A Senior Executive at Vistara said: “Vistara has no idea about the kind of trouble it has brought upon itself. The pilots are disgruntled, and this seems to be a completely self-inflicted injury that could have been handled better. The disruptions certainly serve them well.” According to Balachandran, the root cause of the crisis at Vistara was due to dissatisfaction of pilots over implementation of new uniform pay structure following the completion of merger between Vistara and Air India as a single entity by the end of 2024 and operate as only full-service carrier in India. ‘As part of this transition, Vistara pilots were to get a fixed salary for 40 hours of flying instead of the previous 70 hours, besides also receive payment for extra flying hours’. Alok Anand, Chairman & CEO of Acumen Aviation<sup>5</sup> observed: “It seems a lot of confusion about the merger process and ‘who is in charge’ situations have emerged in different departments, which might also be adding to the problems. Many of them are looking to move to Middle Eastern carriers and to IndiGo too. Pilots hold a lot of power, so it can be difficult to manage if they take joint action like this.”

A Former Vistara pilot noted that ‘before the COVID-19 pandemic, the airline pilots were paid for 70 fixed hours, but during the pandemic as flying came to standstill, the pilots’ salaries were fixed to 40 hours to reduce to bring down airline losses, and ensured that there were no layoffs’. According to the Senior Executive, “Seventy hours of fixed pay have been the norm for a long time, with everybody including IndiGo, Air India, Jet Airways, and the others. IndiGo, the largest airline in South Asia, continues to pay that. So, I am not certain why Air India wants to change that.” Meanwhile, ‘Air India, in February 2023, offered a fixed pay for 40 hours of flying allowance per month to which most pilots’ unions (except for the Indian Commercial Pilots Association and the Indian Pilots Guild who opposed the revision for a brief period, withdrew later) agreed’.

‘Post-pandemic, as the air travel picked up, Vistara emerged stronger than before and cornered a market share of 10% as of July 2022 and the salaries were reinstated to 70 hours. But with Tata

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<sup>4</sup> A leading Indian Intellectual Property and Corporate Law firm.

<sup>5</sup> A Bengaluru-based aircraft asset management and leasing company.

Group looking forward to merge Vistara with Air India, it was forcing Vistara pilots to take 40% cut in the pay. The pilots' salaries of other merged entities (AirAsia India and AIX) of Tata Group, was fixed at 40 hours'. The Senior Executive further noted: "To show savings on paper and in a PowerPoint presentation to their bosses, somebody felt it was important to reduce pilot pay. The pilots at AirAsia and Air India Express accepted the offer as they can be intimidated easily." 'With three airlines within the Tata group accepted the new pay structures, Vistara pilots decided to continue the protests opposing the new pay structure'.

Meanwhile, in June 2023, 'Skytrax<sup>6</sup> had rated Vistara as the 16<sup>th</sup> best airline in the world, and the best in India and South Asia'. Mark Martin, Founder and CEO of Martin Consulting LLC, an aviation consulting firm, said: "In aviation, you have to treat your people very well. There are also other issues when it comes to the merger. There are four airlines, and all their bosses want to run it differently." While Shukor Yusof (Yusof), Founder and Primary Analyst at Endau Analytics<sup>7</sup> observed: "It's often tough going when pay is being reviewed. The merger is a work in progress, and I suspect we can see more reverberations among staff as the airlines are being consolidated." Arindam Majumder, Assistant Editor of *Economic Times* noted that 'Vistara suffered loss of public image (erosion) on account of frequent flight disruptions due to cancellations, disgruntled flyers and was even reprimand from Indian aviation regulator Directorate General of Civil Aviation<sup>8</sup> (DGCA) asking the airline to file daily report on flight cancellations and delays'. The GoI's Civil Aviation Ministry, in a statement mentioned: "Airlines have to comply with DGCA norms to ensure passenger facilitation in case of cancellations or delays of flights."

According to Vistara CEO Vinod Kannan, "the pilot shortage triggered as they reached their flight duty time limit... The management will revise the roster to take pressure off the pilots from May onwards." Market watchers noted that 'Vistara operated 300 flights a day and expected the airline to scale back its network to resolve the dearth of pilots'. 'To tide over the crisis, Vistara had deployed larger aircraft (about 67 aircraft fleet - of which six were 787 Dreamliner and the rest A321neo family) on some domestic routes'. Market watchers also noted that 'globally, airlines scheduled pilots for 70 to 80 hours'. Yusof added: "Tata has a track record of good management skills, which should allow them to quickly resolve this. The more it is prolonged, the worse it could get. As in many similar cases, management is likely to prevail as the market remains robust and travel is up. But getting replacement pilots when they are most needed can be tricky."

Meanwhile, media reported that 'workers at AI Engineering Services Ltd.<sup>9</sup>, planned to go on a strike on April 23<sup>rd</sup> 2024 amidst concerns impacting their 'well-being' and 'professional growth' (issues related to salary, promotion and service agreements). A section of aviation experts feared that the 'ongoing operational mess at Vistara pointed towards a larger imminent problem in its integration with Air India. They further opined that the measures taken by Vistara to solve the current problem may be short lived as Air India had been riddled with employee issues for most of its existence'. John Strickland (Strickland), Founder and Director at JLS Consulting<sup>10</sup> opined: "We can never underestimate the cultural and human aspects of any merger between two companies. It's never just about spreadsheets, calculations and so called synergies, because human beings are not as neat and tidy as spreadsheets can be. And we're

<sup>6</sup> A global air transport rating organisation.

<sup>7</sup> A Malaysia-based Advisory and Research Services firm.

<sup>8</sup> A statutory body of the Government of India that regulated civil aviation in India.

<sup>9</sup> A State-operated maintenance, repair, and overhaul company formerly associated with Air India which still provided the services to the airline.

<sup>10</sup> A London-based aviation analysts firm.

talking about culture clashes, expectations, style of management and all of those things pose problems.”

Giving some examples of earliest airline mergers between erstwhile British Overseas Airways Corporation (BOAC) and British European Airways (BEA) in 1974 and Air France and KLM, an Dutch carrier in 2004, Strickland added: “BOAC was a global long haul airline, and EA was a European airline. It was a real clash of cultures actually reflecting British social strata. BOAC was seen as the airline of the public school boys, and BEA was seen as that of a grammar school, state education employees. And there was absolute mistrust between the two breeds... KLM was a very dynamic airline, if we think about the same scale of the Dutch market and KLM punching way above its weight in terms of its global network and passengers making connections. It was fused with relatively inefficient, regularly strike-prone Air France.” Strickland further added: “The pilot workforce is a particularly sensitive and complicated one to integrate in, in any situation of a merger because pilots have some of the strongest voices when it comes to bargaining power and union representation in airlines. That means their union representatives will negotiate the best possible deals not only in terms of pay, but in terms of seniority of pilots getting benefits for length of service.”

It remained to be seen ‘how quick the Tata Group plans to navigate the Vistara’s turbulence and resolve the issues related to human resources, differences in work cultures, and operational philosophies of all the airlines within its fold’.

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